BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) NO. 13/ALD/2023
(First Motion)

(Under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Dayal Steels Private Limited

Having its Registered Office at:
KM-17, Kavi Nagar
Ghaziabad, UP 201002

..... Applicant/Transferor Company

And

Alang Auto and General Engineering Company Pvt Limited

Having its Registered Office at:
KM-17, Kavinagar
Ghaziabad, UP 201002

..... Applicant/Transferee Company

Order pronounced on: 20.07.2023

CORAM:

Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Physically Present:-

For the Applicant Companies : Ms. Uma Verma PCS
With Sh. Rohit Bhatia
PCS & Ms. Seema, CS

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ORDER

1. This is a joint First Motion Application filed by the Applicant Companies namely; **Dayal Steels Private Limited** (Applicant/Transferor Company), and **Alang Auto and General Engineering Company Pvt. Ltd.** (Applicant/Transferee Company) under sections 230-232 of the Companies Act, 2013 (the 'Act') and other applicable provisions of the Act read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the 'Rules') in relation to the Composite Scheme of Amalgamation between the Applicant Companies and their respective Shareholders and Creditors (the 'Scheme'). The said Scheme has been attached as **Annexure - 5** of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders, Preference shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies.

3. The Applicant/Transferor Company and Transferee Company is an 'Unlisted Private Limited Company' incorporated under the Companies Act, 1956 and is

engaged in the business of manufacturer Processor, importer, exporter & dealers of all kind of ferrous and non-ferrous material and business of ship breaking activities etc.

4. It is submitted that the Registered Offices of the Applicant Companies are situated in the State of Uttar Pradesh, therefore, the territorial jurisdiction of the Applicant Companies lie with this Bench.

5. The rationale of the Scheme is given below :-

a) The Transferor Company is engaged in the business of manufacturer Processor, importer, exporter & dealers of all kind of ferrous and non-ferrous material and business of ship breaking activities etc.

b) The Transferee Company is engaged in the business of manufacturer Processor, importer, exporter & dealers of all kind of ferrous and non-ferrous material and business of ship breaking activities etc.

c) The Transferor and the Transferee Company are engaged in similar and allied business and there exists business and operational synergies in the amalgamation of the Transferor Company with the Transferee Company. Thus, the

Transferor Company are desirous of consolidating their business under the Transferee Company which would enable the business to scale up and pursue growth opportunities in a more focused manner under the guidance and beacon of the same management.

d) The business of the Transferor Company would also get access to the competitive advantage and the combined entity would be better equipped to realize the benefit of greater synergy between their businesses related to aspects like availability of raw material, distribution and marketing network, pooling of financial resources as well as managerial, technical and marketing resources.

6. Composite Scheme of Amalgamation will also result in:

a) Creating better synergies and optimal utilisation of resources built by the Transferor Companies;

b) Better administration and cost reduction (including reduction in administrative and other common costs); and

c) Better utilization of professional expertise and other manpower resources.

d) In consideration of the above mentioned business rationale and related benefits, this Composite Scheme of

Amalgamation between Dayal Steels Private Limited (Transferor Company) and Alang Auto and General Engineering Company Pvt Ltd. (Transferee Company) is propounded in accordance with the terms set out in the Composite Scheme of Amalgamation

7. It is stated that the Board of Directors of the Applicant/Transferor Company and Applicant/Transferee Company in their respective meetings held on 27th September, 2022 have considered and unanimously approved the Composite Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Applicant Companies have been attached as **Annexure-20** of the Application.

8. The Appointed Date of the Scheme is 1st April, 2022 as mentioned in the Composite Scheme of Amalgamation which has been attached as **Annexure - 5** of the Application.

9. It is stated that the Applicant/Transferor Companies and Applicant/Transferee Company have filed the Audited Financial Statements as on 31st March, 2022 which has been attached as **Annexures-11** and **Annexure-12**

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respectively of the Application. It is further stated that the Applicant/Transferor Company and Applicant/Transferee Company have also filed the Supplementary Financial Statements for the period ended 30th September, 2022.

10. It is further submitted that in pursuance of the proviso to Section 230 (7) and Section 232 (3) of the Act, the Applicant Companies have filed the certificates dated 5th November, 2022 issued by the Statutory Auditors of the respective Applicant Companies certifying that the accounting treatment proposed in the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 and the same are attached have been **Annexures-19** of the Application.

11. It is further submitted by the Counsel for the Applicant Companies that as per the Report of Gaurav Jain, a Registered Valuer for Securities and Financial Assets (Registration No. IBBI/RV/06/2021/13914) dated 20th September, 2022 and the addendum thereto on Fair Market Value of Equity Share on Fully Diluted Basis for the Composite Scheme of Amalgamation which has been attached as **Annexure-6** of the Application, the

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Applicant/Transferee Company shall issue and allot without any further application, act or deed and without any further payment, 203 Equity Shares of the face value of Rs.10/- each, for every 100 (one Hundred) Equity Shares of face value of Rs. 100/- (Rupees One Hundred only) each held by shareholders in the Transferor Company (Dayal Steels Private Limited), whose name are recorded in the register of Members as owners on the 'Record Date'

12. It is submitted by the learned Counsel that the Composite Scheme of Amalgamation (**Annexure-5**) also takes care of the interests of the staff, workers and employees of the Applicant Companies, as provided under Para 5 (5.1, 5.2, 5.3) of the Part-B of the Scheme.

13. The Authorized Representative of the Applicant Companies has submitted by way of affidavit that the Applicant Companies are not regulated by any sectoral regulators. The aforesaid Affidavit of the Applicant Companies has been attached and marked as **Annexure A-2** of Additional Document of the Application.

14. The Applicant Companies have furnished the following documents:-

i. Proposed Scheme of Amalgamation (**Annexure-5** of the Application).

ii. Certificate of Incorporation along with Memorandum and Articles of Association of the transferor and transferee Companies (**Annexures-2** and **Annexure – 4** respectively of the Application).

iii. List of Equity Shareholders of the Applicant / Transferor Company as on 30th September, 2022 (**Annexure-9** of the Application).

iv. Consent Affidavits of Equity Shareholders of the transferor Company (**Annexures-9** (Page 153-167) respectively of the Application).

v. List of Equity Shareholders of the Applicant / Transferee Company as on 30th September, 2022 (**Annexure-10** of the Application).

vi. Consent Affidavits of Equity Shareholders of the transferor Company (**Annexures-10** (Page 170-187A) of the Application).

vii. List of Unsecured Creditors of the Applicant/Transferor Company as on 30th September, 2022 duly certified by the Chartered Accountants along with their unanimous consent

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by way of affidavit (**Annexures-13** of the Application).

viii. List of Unsecured and Secured Creditors of the Applicant/Transferee Company as on 30th September, 2022 duly certified by the Chartered Accountants along with their unanimous consent by way of affidavit (**Annexures-14** of the Application).

ix. Certificates of the Statutory Auditors of the Applicant Companies to the effect that the Accounting treatment proposed in the Scheme is in conformity with the provisions of Section 133 of the Companies Act, 2013 (**Annexures-19** of the Application).

x. Audited Financial Statements as on 31st March, 2021 and 31st March, 2022 of the Applicant/transferor Company along with the Supplementary Financial Statements as on 30th September 2022 (**Annexures-11** of the Application).

xi. Audited Financial Statements as on 31st March, 2021 and 31st March, 2022 of the Applicant/transferee Company along with the Supplementary Financial Statements as on 30th September 2022 (**Annexures-11** of the Application).

xii. Report of Gaurav Jain, a Registered Valuer for Securities and Financial Assets (Registration No.

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IBBI/RV/06/2021/13914) dated 20th September, 2022 along with addendum thereto on Fair Share Swap Ratio for the Composite Scheme of Amalgamation (**Annexure-6** of the Application).

xiii. Affidavit with regard to the Sectoral Regulator of the Applicant Companies (**Annexure-2** of the Application submitted as additional documents).

15. The Applicant Companies have furnished the details of the Equity Shareholders, Secured and Unsecured Creditors and Debenture holders as follows:

Name of the Applicant Companies	**Shareholders along with their consent on affidavit**		**Creditors along with their consents on affidavit**			
	Equity Shareholders	**Consents submitted on affidavit**	**Secured Creditors**	**Consent submitted on affidavit**	**Unsecured Creditors**	**Consents submitted on affidavit**
Dayal Steels Private Limited (the transferor company)	05 (Five)	All (100%)	0 (Zero)	NA	02 (Two)	All (100%)
Alang Auto and General Engineering Company Pvt. Ltd. (the transferee company)	06 (Six)	All (100%)	01 (One)	All (100%)	13 (Thirteen)	All (100%)

16. Accordingly, the directions of this Bench in the present case are as under:-

I. **<u>In relation to the Transferor Company</u>**:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of

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affidavits have been received from all the Equity shareholders holding 100% Equity share capital of the Transferor Company;

b. There are no Preference Shareholders of the Transferor Company, as such, the question of issuing directions for convening/dispensing the meeting of the Preference Shareholders of the Transferor Company does not arise;

c. The meeting of the Unsecured Creditors of the Transferor Company is dispensed with as consent from all Unsecured Creditors holding 100% of the total value of unsecured debts of the Transferor Company has been received by way of an affidavit;

II. <u>In relation to Transferee Company</u>:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the Equity shareholders holding 100% Equity share capital of the Transferee Company;

b. There are no Preference Shareholders of the Transferee Company, as such, the question of issuing directions for

convening/dispensing the meeting of the Preference Shareholders of the Transferee Company does not arise;

c. The meeting of secured creditor is dispensed with as there is only one secured creditor and the transferee company has received consent by way of affidavit.

d. The meeting of the unsecured creditors is dispensed with keeping in view the fact that the consent by way of affidavits have been received from all the unsecured creditors holding of the Transferee Company

17. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department by disclosing the PAN numbers of the Applicant Companies as mentioned in the Memo of Parties of the Second Motion Petition.

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18. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

19. That appropriate prayer would also be made in the second motion petition for publication in newspaper.

20. With the aforesaid directions, the First Motion Application bearing CA (CAA) No.13/ALD/2023 is disposed of accordingly.

21. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

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(ASHISH VERMA)
Member (Technical)

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(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)